

## **Institute of International Finance (IIF) Roundtable**

### **Regulatory Modernization: Evolving Approaches and the Role of Global Standard Setters**

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#### **Keynote Remarks**

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- There has been quite a bit of discussion recently about the future of multilateralism. But when you look at financial markets themselves, the reality is that they remain deeply global. Capital moves across borders, innovation moves across borders, and increasingly, risks do too.
- At the same time, a number of jurisdictions are looking closely at their regulatory frameworks. In the United States, the United Kingdom, the European Union and elsewhere, there are efforts underway to modernise parts of the regulatory system and, in some cases, to simplify them. That is not unusual. Regulatory frameworks need to evolve, and it is healthy to step back from time to time and ask whether the rules we have are still doing the job they were designed to do.
- What is different today is the pace at which markets are changing. Technology is moving quickly, new business models are emerging, and financial activity is evolving in ways that would have been hard to imagine even ten years ago. So regulators are having to revisit frameworks more often than in the past.
- But modernisation also creates a practical challenge. When each jurisdiction simplifies its framework in its own way, global firms can end up dealing with several different approaches that are trying to achieve broadly similar goals. Something that looks simpler domestically can sometimes become more complicated when you step back and look at the global picture.
- For firms operating internationally, that can mean higher compliance costs and greater operational complexity. But it can also make life harder for regulators. When frameworks diverge, it becomes more difficult to piece together a clear view of risks across markets. And history has shown us the consequences of that.
- That is really where international cooperation still matters.

- If you think about where cooperation adds the most value today, two areas stand out quite clearly to me: data and innovation.
- If we go back to the period after the global financial crisis, the derivatives reforms and the Principles for Financial Market Infrastructures were major achievements in international cooperation. They made markets significantly more transparent and more resilient.
- But over time we have also learned something important. Agreeing the standards is only part of the story. What really determines their effectiveness is how consistently they are implemented.
- Data reporting is a good example. We have made a lot of progress since the crisis, but fragmentation in trade reporting still makes it difficult to aggregate derivatives data across jurisdictions. And that limits our ability to see risk building across the system.
- That experience has made clear that high-quality, interoperable data is becoming absolutely central to effective oversight of global markets.
- At IOSCO we have therefore been putting more emphasis not only on policy frameworks, but also on tools that help improve transparency and comparability across jurisdictions. One example is the IOSCO Investment Funds Statistics Dashboard. It brings together data on both public and private funds globally and allows regulators to compare leverage and exposures across jurisdictions. That helps build a clearer picture of potential vulnerabilities in market-based finance.
- We are also working closely with the Financial Stability Board on analysing leveraged strategies in sovereign bond markets—another area where better data and cross-border cooperation are essential.
- Innovation is the other area where coordination matters a great deal. Technologies such as DLT, digital assets and artificial intelligence are developing rapidly, and they tend to operate across borders almost from the outset. If regulatory responses evolve entirely in isolation, fragmentation can emerge very quickly.
- IOSCO's 2023 recommendations on crypto-asset markets were developed with exactly that in mind. They provide a common reference point for jurisdictions that are building regulatory frameworks in this space. The goal is not identical rules everywhere, but broadly consistent outcomes—particularly in terms of investor protection, market integrity and financial stability.

- We have also created a SupTech Forum, where supervisors can collaborate on the use of technology in supervision itself, including the use of artificial intelligence to strengthen monitoring and enforcement.
- More broadly, these challenges also remind us that standards alone are not enough. Implementation often depends on cooperation between regulators and market participants. After the financial crisis, IOSCO and CPMI set the policy framework for derivatives reforms, but industry initiatives played a critical role in making those reforms work operationally. That kind of collaboration remains important today.
- So I would not frame regulatory modernization and international cooperation as competing ideas. In reality they serve different but complementary purposes. National reforms can make regulatory frameworks more efficient. International coordination helps ensure that global markets continue to function smoothly.